

		Additionally, though the motion must be denied without regard to Plaintiffs showing under these circumstances, Plaintiffs provide evidence that the sham nature of the Borrowers' entire enterprise and the lack of any actual collateral was discovered on or about April 4, 2022, which creates a triable issue of material fact as to when Plaintiffs discovered facts constituting their claims. (Egan Decl., ¶ 19.) <i>Plaintiffs to give notice.</i>
109	BKC Entertainment LLC vs. K1 Speed Franchising, Inc., 23-01317103	Defendants K1 Speed Franchising, Inc., Kart 1, LLC, Protex Karting Barrier, LLC, David Danglard, and Uli Perez and Cross-Complainants K1 Speed, Inc., K1 Speed Franchising, Inc., and Protex Karting Barrier, LLC ("Defendants") move for summary adjudication of the fourth through eighth causes of action asserted by plaintiff BKC Entertainment LLC ("BKC" or "Plaintiff") on the ground that they are preempted by the California Franchise Investment Law (CFIL). Plaintiff's unopposed request for judicial notice is GRANTED. (Evid. Code, § 452(c).) Plaintiff alleges causes of action for violations of section 31110, 31200, and 31201 of the CFIL. Sections 31200 and 31201 make it unlawful to make any untrue statement of material fact (or omit the same) in any application, notice or report filed with the commissioner under the CFIL and to offer or sell a franchise by any written or oral communication which includes an untrue statement of material fact or omits a material fact, respectively. When the parties entered into the subject franchise agreements, section 31306 read: "Except as explicitly provided in this chapter, no civil liability in favor of any private party shall arise against any person by implication from or as a result of the violation of any provision of this law or any rule or order hereunder. Nothing in this chapter shall limit any liability which may exist by virtue of any other statute or under common law if this law were not in effect." Defendants cite <i>Samica Enterprises, LLC v. Mail Boxes Etc. USA, Inc.</i> (C.D. Cal. 2008) 637 F.Supp.2d 712. The defendants there argued that the plaintiffs' common law claims for fraud and negligent misrepresentation were preempted by section 31306 of the CFIL. (<i>Id.</i> at p. 721.) The Samica court held that "section 31306 is best understood as displacing those claims that rest on misrepresentations or omissions covered by the several provisions of the CFIL, and the saving clause merely clarifies that the CFIL does not completely preempt the field" and that "[t]his straightforward interpretation gives meaning to both sections, reconciles any perceived inconsistency, and comports with fundamental principles of statutory construction." (<i>Ibid.</i>)

		Plaintiff cites to <i>Bowden v. Robinson</i> (1977) 67 Cal.App.3d 705 in support of the opposite conclusion. In <i>Bowden</i>, the Court of Appeal held that Corporations Code section 25510, which is identical to section 31306 of the CFIL, should be interpreted as supplementing rather than displacing common law fraud. (67 Cal.App.3d at p. 716.) As the Court previously held in overruling the Demurrer filed by some of the Defendants, given that section 31306 and section 25510 are identical, there is no reason why the reasoning in <i>Bowden</i> should not apply here. Further, that reasoning is sound. The <i>Bowden</i> court noted that Corporations Code section 25006 defined "fraud," "deceit," and "defraud" as not being limited to common law fraud or deceit and held that sections 25006 and 25510 read together "express a clear legislative intent . . . to supplement common law causes of action, not to repudiate them." (Id. at p.716.) Here, the CFIL also has a virtually identical provision in section 31012, which provides: " 'Fraud' and 'deceit' are not limited to common law fraud or deceit." Pursuant to <i>Bowden</i>, sections 31306 and 31012 read together express a legislative intent to supplement common law causes of action rather than repudiate them. While <i>Samica</i> reached the opposite conclusion, it is not controlling on this Court. Thus, the Court finds that the causes of action are not preempted. Because the Court finds no preemption, it need not reach the arguments regarding retroactivity of the amended section 31306 or whether Plaintiff's causes of action are based on post-sale misrepresentations. In accordance with the above, the Motion for Summary Adjudication is DENIED. <i>Moving party to give notice.</i>
110	Daniels vs. Balderas, 25-01515105	Defendants Guillermo E. Balderas (sued as Ernie Balderas) ("Balderas"), Angelica Garcia (sued as Angelique Garcia) ("Garcia"), Vicente Lopez, Yesenia Mendoza ("Mendoza"), and Carlos Portillo (sued as Carlos Porpillo) (collectively, "Superior Court Defendants") seek an order sustaining their demurrer to the first, second, third, fourth, fifth, and sixth causes of action of the Complaint filed by Plaintiff Dominique Daniels, based on failure to state sufficient facts to constitute a cause of action. (ROA 109) Defendants also seek to strike Page 52, Prayer for Relief Paragraph 5, which provides: "Punitive damages according to proof." (ROA 104) As a threshold matter, before filing a demurrer, the demurring party must meet and confer in person, by video conference, or by telephone with the party who filed the pleading to attempt to reach an agreement that would